

Commission Transcript

So you want to work in real estate? To be successful, you'll need to have a basic understanding of math and a few formulas specific to the real estate industry. Many calculations you'll do will involve percentages and multiplying different numbers. This is called a **formula**.

Let's look at the formula for calculating a commission, which we hope you'll be using a lot in your career. To calculate the commission for a real estate transaction, you'll take the sale price and multiply it by the commission rate. This gives you the total commission the transaction will pay, in dollars.

Example

A home sells for \$150,000. The commission rate is 7%. When multiplying or dividing, it makes it easier if you convert percentages to decimals. To convert a percentage to a decimal, simply divide the percentage by 100 and drop the percent sign. In this case, that gives us .07. Multiply .07 by the sales price, and you'll find that this transaction would yield a total commission of \$10,500. Keep in mind, the commission you receive will be lower if you split the commission with your real estate firm or another real estate professional.

One neat thing about formulas is if you have two of the numbers, you can easily solve for the third.

Let's say we want to calculate the percentage of the commission you earned on a transaction. We can find that by taking the total commission received and dividing it by the sale price. So, if you received a \$10,500 commission check on a transaction with a sales price of \$150,000, simply divide \$10,500 by \$150,000, which gives you .07. If we multiply that decimal by 100 and add our percent sign, we see that the transaction paid 7% in commission.